



**Title: Central Bank Digital Currency (CBDC) and Its Impact on Bank Fund
Management**

Course: Bank Fund Management (FIN 4812)

Submitted by:

Dhrubo Barua Dip

ID: 101022027

Batch: BBA 10

Submitted to:

Professor Dr. Mohammad Ashraful Ferdous Chowdhury

Date: 26/11/2025

ARMY INSTITUTE OF BUSINESS ADMINISTRATION (AIBA), SYLHET.

Introduction to Central Bank Digital Currency (CBDC)

Central Bank Digital Currency (CBDC) is the digital form of a nation's official currency, issued and regulated by the central bank with the same legal status as physical cash. Unlike cryptocurrencies such as Bitcoin, CBDC is centralized, government-backed, and not created through mining. It exists only in digital form and can be stored in electronic wallets.

From a Bank Fund Management perspective, CBDC introduces a new form of money that stays within the formal monetary system but outside commercial banks, making it a major structural shift.

Historical Background of the CBDC Concept

Although The concept is not new. In the 1980s–1990s, economists — notably James Tobin — proposed giving the public access to central-bank-backed digital money to reduce reliance on private banks. Early digital payment experiments occurred in the 1990s, but technology was not advanced enough for nationwide systems.

Two events accelerated modern CBDC development:

1. The 2008 Global Financial Crisis, which exposed the fragility of private banking.
2. The rise of cryptocurrencies after 2009, challenging central banks' monetary monopoly.

Since then, many central banks have explored or piloted CBDCs. Although exact adoption numbers change frequently, the clear trend is that CBDC has emerged as a strategic response to digitalization, declining cash use, and growing private digital currency activity.

Types of CBDC

CBDC is usually classified into two major types based on its users and purpose.

a) Wholesale CBDC

Wholesale CBDC used by banks for:

- Interbank settlement
- Large-value payments
- Cross-border transfers
- Clearing and settlement

Benefits for fund management: improved liquidity, reduced settlement risk, faster transfers, and better transparency.

b) Retail CBDC

Retail CBDC used by the general public for:

- Shopping and daily payments
- Digital savings
- Peer-to-peer transfers
- Government disbursements

Retail CBDC impacts commercial banks because it allows people to store money directly with the central bank, reducing deposits - the main source of bank funding.

Why CBDC Is Necessary

CBDC is not simply a technological experiment. It is a response to real economic and financial challenges. There are several strong reasons why central banks are seriously considering or adopting CBDC.

a) Declining Use of Physical Cash

As societies move toward cashless transactions, CBDC ensures government control over legal tender remains intact rather than being overtaken by private digital platforms.

b) Safe Access to Central Bank Money

CBDC can provide citizens with risk-free digital money backed by the central bank, especially useful during financial uncertainty.

c) Faster and Cheaper Payments

CBDC can make domestic and international transactions faster, cheaper, and more transparent. This reduces friction in the economy and increases efficiency in business transactions.

d) Efficient Government Fund Distribution

Governments can distribute welfare, subsidies, or emergency funds instantly, transparently, and with reduced corruption and administrative delays.

e) Financial Inclusion

CBDC can help unbanked populations access financial services through digital wallets, reducing dependence on traditional banks.

Working Process of CBDC (Operational Structure)

The basic working process of CBDC follows these steps:

1. The central bank digitally issues a specific amount of CBDC.
2. The digital currency is distributed either through commercial banks or directly to individuals and businesses.
3. Users create a digital wallet or account to store CBDC.
4. CBDC is stored securely in the digital wallet.
5. Payments are made through QR codes, mobile transfer, or digital scanning.
6. Every transaction is recorded in a secure central or distributed ledger.
7. Settlement is instant and final, removing the delays of traditional banking.



Figure 1: Operational Flow of Central Bank Digital Currency (CBDC)

This process is much faster than physical cash handling and safer than many private digital platforms.

Impact of CBDC on Bank Fund Management (Critical Analysis)

Commercial Retail CBDC creates major changes:

- Deposits may shift from banks to CBDC wallets
- Reduced deposits lead to lower lending capacity
- Banks may face liquidity pressure
- Banks might increase interest rates to retain depositors
- Funding strategies must be redesigned

Bank fund managers must:

- Find new funding sources
- Improve liquidity management
- Strengthen customer relationships
- Increase operational efficiency

Wholesale CBDC, meanwhile, benefits banks by improving transaction speed and reducing settlement risks. Overall, CBDC is both a challenge and a strategic opportunity - innovative banks will grow, while slow-to-adapt banks may lose relevance.

Conclusion

CBDC represents a major shift in how money functions. It can reshape deposits, liquidity, and funding strategies while strengthening central bank control. As digital money becomes more common, banks must innovate to stay relevant. CBDC is not only a new form of currency - it signals the future direction of banking and financial management.